PIXEL PALACE

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FINANCE AND EXPENSE MANAGEMENT SOP

Document No.	PP-FIN-001 (Proposal)	**Version**	1.0 (Proposal)
Responsible	Finance Director	**Approval**	CEO, then Owner
Review cycle	Every 12 months	**Related documents**	PP-SOP-001; PP-IT-001

1. Purpose & Financial Principles

• Establish basic controls so Pixel Palace funds, income, purchases, and financial records are accurate, authorized, traceable, and protected.

• The Finance Director oversees financial controls and reporting. Use PP-SOP-001 for reporting lines and conduct, and PP-IT-001 for financial-system access, passwords, data handling, and incident reporting.

2. Budgeting & Spending Authority

• Prepare an annual operating budget and update a monthly forecast covering rent, utilities, payroll, gaming equipment, maintenance, marketing, security, supplies, taxes, and other expected costs.

• Department heads submit planned spending and business reasons to the Finance Director. The Finance Director reviews affordability and budget availability; the CEO reviews and recommends the budget, and the Owner gives final approval.

• Proposed approval rule: all non-routine spending requires a documented purchase request and approval before commitment. Set monetary approval limits in a separate approved authority schedule; do not assume unapproved thresholds.

3. Purchase Requests & Vendor Controls

• Purchase requests should state the item/service, business purpose, quantity, estimated cost, budget line, required date, and suggested vendor. Obtain competing quotations where practical for material purchases.

• Check vendor identity, pricing, delivery terms, and any relevant conflict of interest before selection. Employees must disclose personal or family interests in vendors and must not approve their own claims or purchases.

• Separate duties where staffing permits: requester, approver, receiver, and payer should not all be the same person. If separation is impractical, require documented independent review by the CEO or Owner.

4. Petty Cash, Receipts & Expenses

• Maintain a defined petty-cash float approved by the Owner. Record each payment with date, purpose, amount, recipient, supporting receipt, and authorization. Do not split purchases to avoid approval.

• Require original or verifiable receipts for reimbursements. Expense claims must state the business purpose and be approved by the claimant’s manager and Finance; a claimant must not approve their own claim.

• Reconcile petty cash regularly and replenish only against reviewed vouchers and receipts. Report missing cash or unsupported expenses immediately.

5. Invoices, Vendor Payments & Revenue

• Match vendor invoices to the approved purchase request/order and evidence that goods or services were received before payment. Investigate discrepancies, duplicate invoices, unusual bank-detail changes, or missing documentation.

• Payments must be approved by authorized personnel and made through approved company accounts or payment methods. Independently verify vendor bank-detail changes using a trusted contact method.

• Record gaming-session revenue, group bookings, deposits, refunds, discounts, and cancellations against receipts or transaction records. Discounts, refunds, and write-offs require documented approval under the authority schedule.

6. Records, Access & Fraud Prevention

• Maintain complete, dated records of budgets, approvals, invoices, receipts, payroll, vendor details, bank transactions, revenue, refunds, and reconciliations in approved systems.

• Restrict banking, accounting, payroll, and payment access to authorized personnel using individual accounts and strong authentication. Never share credentials or store financial records in unapproved personal accounts; follow PP-IT-001.

• Prohibited practices include falsifying records, unauthorized payments, kickbacks, personal use of company funds, duplicate claims, concealment of conflicts, and bypassing approvals. Report suspected fraud promptly to the Finance Director, CEO, or Owner; if the concern involves one of them, report to the next appropriate authority.

7. Monthly Review & Reconciliation

• Each month, the Finance Director reconciles bank and payment-provider statements to the accounting records, compares sales receipts/POS records with recorded revenue, reviews petty cash, checks vendor balances and outstanding invoices, and investigates differences.

• Prepare a monthly report showing actual versus budget, revenue, operating expenses, cash position, receivables/payables, unusual transactions, and corrective actions. Department heads explain significant variances in their areas.

• Submit the report to the CEO for review and escalation to the Owner as appropriate. Keep evidence of reconciliations, reviewer sign-off, unresolved differences, and follow-up actions.

8. Responsibilities, Approval & Review

• The Finance Director maintains records, monitors controls, and prepares reports; department heads justify requests and confirm receipt of goods/services; the CEO reviews financial performance and recommends budgets; the Owner approves budgets and reserved decisions.

• Review this SOP every 12 months or sooner if needed. The CEO reviews and recommends revisions, followed by final approval from the Owner.

Verification note: PP-FIN-001, version 1.0, the petty-cash float, and any monetary approval limits require management verification. Approve a separate authority schedule before implementation.